Weekly Ship Recycling Report

29 July - 5 August 2022

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Highlights of the Week

The era of stability is long gone with global economy facing multiple shocks, each one having a domino effect across all the industries. As the rising energy and food prices continue to hurt the forex reserves and cause devaluation of currencies in the major recycling destinations, the offer prices from end-buyers are still not rebounding to previous levels. On the other hand, all categories of vessels are more or less enjoying healthy freight rates, making it unlikely for owners to consider retiring their aging assets. It remains to be seen if this extended period of inactivity in the ship recycling industry is a short breather or a warning for worse to come!

China's steel industry is entering a precarious new era as a worsening property crisis imperils demand. Almost a third of China's steel mills could go bankrupt in a squeeze that's likely to last five years, Li Ganpo, founder and chairman of Hebei Jingye Steel Group, warned at a private company meeting. With property having lost its mantle as the preeminent growth driver, key commodities like steel no longer have the benefit of endless credit access, increasing the risk of mill closures across the country.

US-China tensions mount after US House Speaker Nancy Pelosi's visit to Taiwan as China claims Taiwan as part of its territory, and views visits by foreign government officials as recognition of the island's sovereignty. Chinese foreign ministry said Washington's betrayal on the Taiwan issue is bankrupting its national credibility and announced cancellation of several defence meetings with the United States alongwith sanctions against Nancy Pelosi and her immediate family members.

The Bank of England has warned the UK will fall into recession as it raised interest rates by 50 basis points, its largest single increase the most in 27 years.

Exchange Rates:

USD / INR

This Week	: 79.24
Previous Week	: 79.43
Gained	: 0.24 %

USD / BDT

This Week	: 94.54
Previous Week	: 94.26
Lost	: 0.30 %

USD / PKR

This Week	: 223.65
Previous Week	: 239.73
Gained	: 6.71 %

USD / TL

This Week	: 17.96
Previous Week	: 17.94
Lost	: 0.11 %

India

Market sentiments remain stable

- There is a desire to secure tonnage, but the end buyers are not willing to go much higher with the offer prices due to volatile prices in the domestic market and continuously declining demand for Indian steel in key export destinations due to competitive prices from China, high export duty and a slowdown in global steel consumption.

- After receiving multiple industry representation to reduce or eliminate the export duty on steel products amid falling prices and rising domestic supply, the Steel Ministry has finally taken up the matter with the Finance Ministry and an announcement may soon be made on this matter.

- India is planning to start a carbon trading market for major emitters in the energy, steel and cement industries, as part of its efforts to hasten the transition to cleaner fuels. The platform is likely to be announced by PM Narendra Modi at Independence Day celebrations on Aug. 15

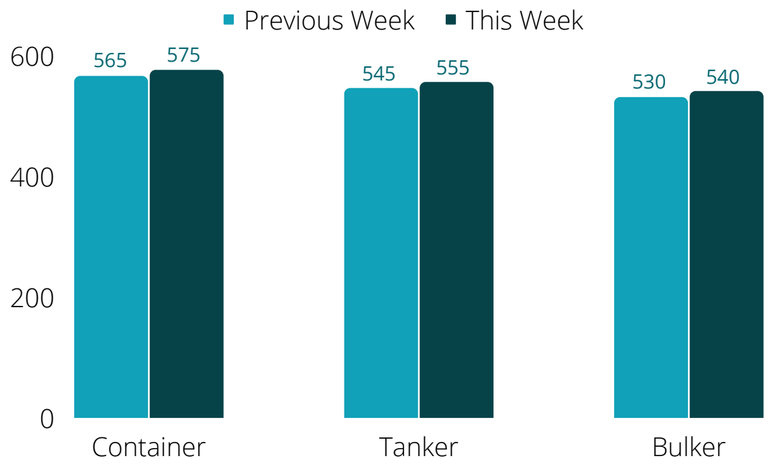
Beaching Dates

8 August to 17 August 2022

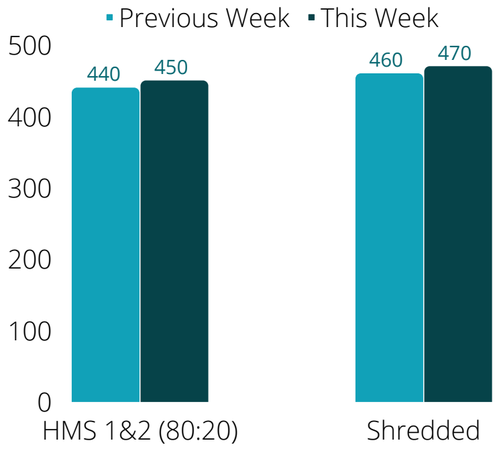
25 August to 2 September 2022

7 September to 15 September 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Higher energy cost draining Forex reserves

- The end buyers from Chattogram are seeking small-sized vessels to fill their emptying yards as the exchange rate for LC trade reached BDT 112.15/USD. Even at higher rates, none of the banks worldwide are willing to accept Usance LC from Bangladesh and very few buyers have the ability to make sight payments, resulting in a virtual standstill in the recycling market.

- Bangladesh may face three years of rolling power cuts due to the ongoing global gas crunch, Bloomberg reported this week. The country struggles to source long-term natural gas supplies and finds the spot market too expensive to meet its needs.

- Increasing production costs and lower margins from finished steel sales kept the market sluggish this week. Furthermore, the Muharram Ashura holidays ahead may keep the domestic market activities quiet in the coming week as well.

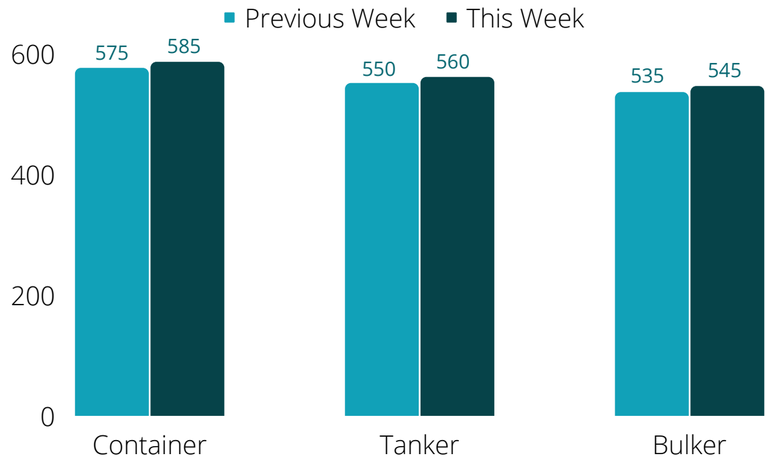
Beaching Dates

11 August to 14 August 2022

27 August to 30 August 2022

9 September to 12 September 2022

Price for Recycling Ships in Bangladesh



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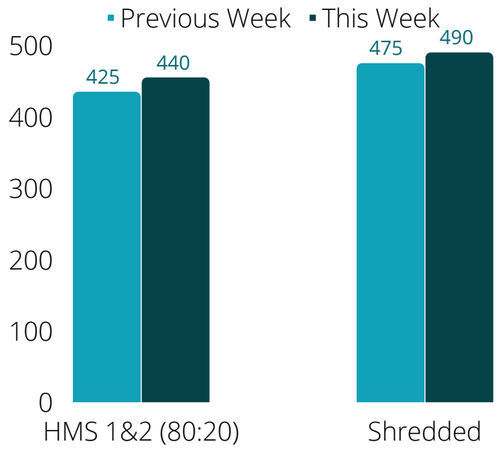


Pakistan

Imported scrap offers move upwards

- The offer prices from recyclers of Gadani have improved due to very limited availability of scrap in the domestic market and improvement in the interbank exchange rate. As many recycling yards have already run out of inventory, the end buyers are willing to bid competitively and match the levels offered by their counterparts from India to secure tonnage but unfortunately there are no units available in the demolition market .

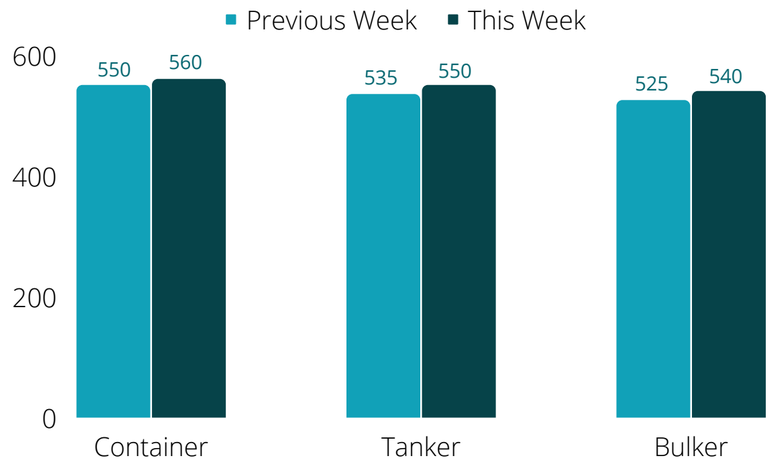
- Pakistan's Finance Minister announced today that the government would continue to curb imports for the next three months, as he warned of "bad days" ahead for the cash-strapped country. He further stated that the current government has to save the country from a possible default and needs to take immediate and short-term measures.

- Due to heavy rains across many parts of the country, the market for finished steel has been slow. However, mills have raised rebar prices on the back of continuous devaluation of PKR, increase in energy costs, and rising input costs.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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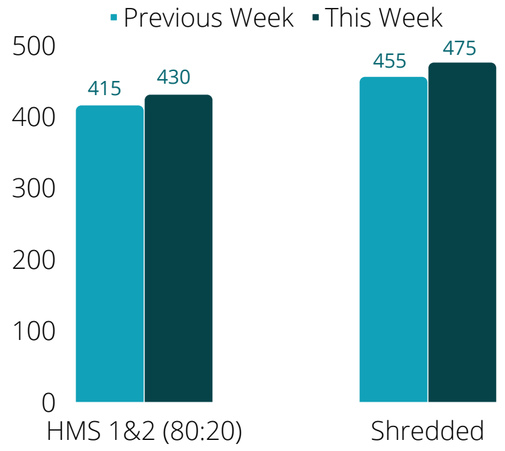


Türkiye

Inflation jumped to 24-year-high

- Imported scrap offers have strengthend by about USD 5-10/MT whereas the domestic steel demand and prices remain the same as previous week with no signs of improvement due to subdued buying activities.

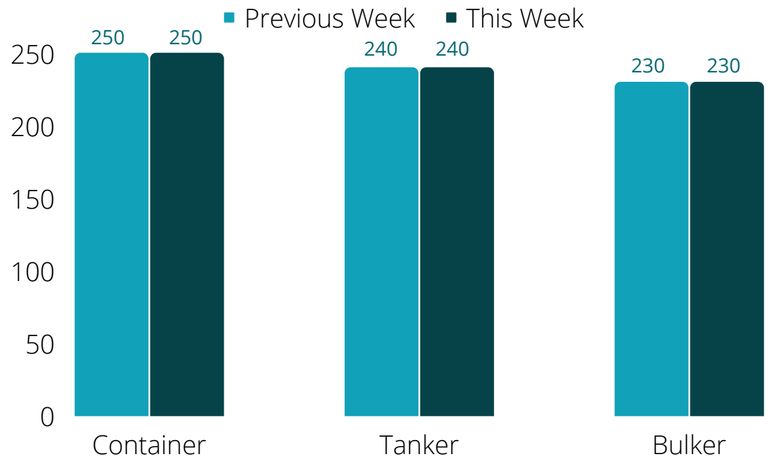
- Turkish inflation rose to a fresh 24-year high of 79.6% in July, data showed this week as Lira's continued weakness and global energy and commodity costs pushed prices higher.

- A Turkish port facility owned by MMK Turkey, which is also known as MMK Metalurji Port, has has been sanctioned by the US for being linked to Viktor Filippovich Rashnikov, the head of Russian iron and steel giant MMK.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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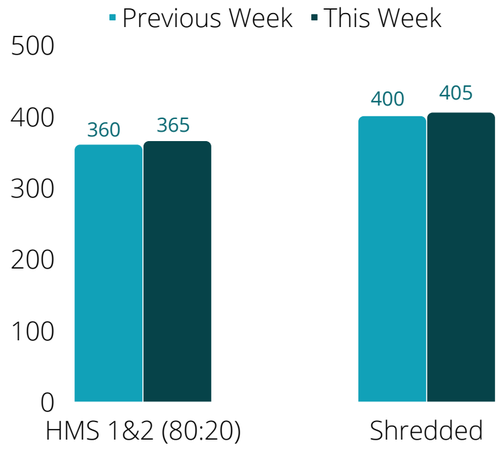
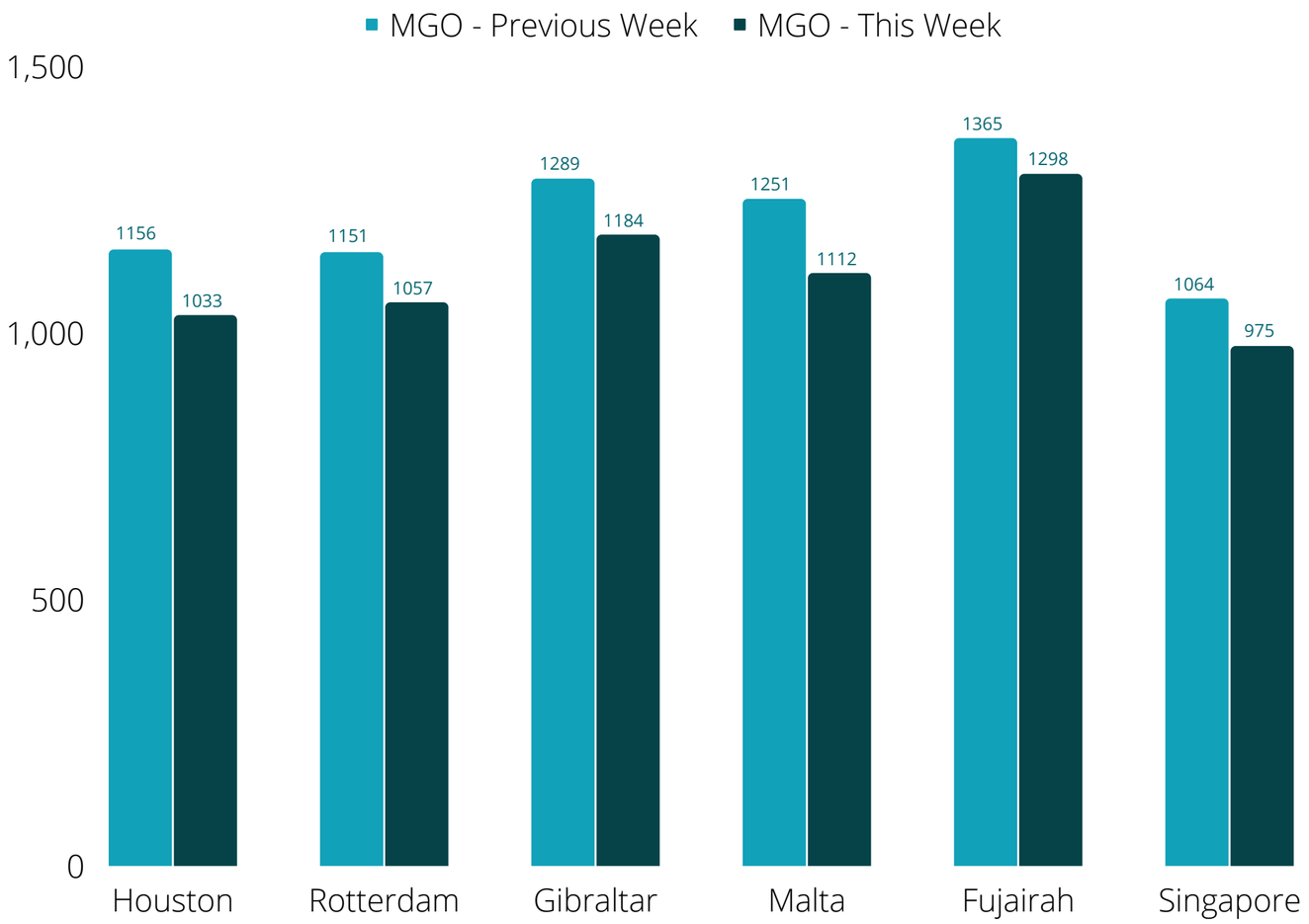


Bunker Prices at Port



Brent Crude

This Week	:	94.64
Previous Week	:	107.90
Movement	:	-12.29 %

WTI Crude

This Week	:	89.17
Previous Week	:	97.48
Movement	:	-8.52 %

- Oil prices slid this week to almost six-month lows, after U.S. data showed crude and gasoline stockpiles unexpectedly surged last week and as OPEC+ said it would raise its oil output target by 100,000 barrels per day (bpd).

List of Vessels Sold this Week

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
EVER JUDGER	BULKER (Fire Damaged)	2014	CHINA	13,500.00	AS-IS (Auction Sale)	BALIKPAPAN BAY	UNDISCLOSED

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